PAPER 6- Integrated Business Solutions

The Roadmap: Navigating Ind AS

Essential Ind AS : Summary & Linkage



CA Vinay Kumar







One Last BATTLE,
Make it LEGENDARY !!

Click for IBS Material







Index

Chapter	Nov 24	May 25	Pg
IND AS 1 Presentation of Financial Statements	M-1	M-1	1
Ind AS 2 Inventories	M-2	M-2	1
Ind AS 7 Statement of Cash Flows	M-1	M-1	1
Ind AS 8 Accounting Policies, Changes in Accounting Estimates and Errors	M-1	M-1	1
Ind AS 10 Events after the Reporting Period	M-1	M-1	1
Ind AS 12 Income Taxes	M-3	M-3	2
Ind AS 16 Property, Plant and Equipment	M-2	M-2	2
Ind AS 19 Employee Benefits	M-3	M-3	2
Ind AS 20 Accounting for Government Grants and Disclosure of Government Assistance	M-2	M-4	2
Ind AS 21 The Effects of Changes in Foreign Exchange Rates	M-3	M-3	3
Ind AS 23 Borrowing Costs	M-2	M-2	3
Ind AS 24 Related Party Disclosures	M-3	M-3	3
Ind AS 27 Separate Financial Statements	M-4	M-5	3
Ind AS 28 Investment in Associates & Joint Ventures	M-4	M-5	3
Ind AS 32 Financial Instruments	M-3	M-4	4
Ind AS 33 Earnings per Share	M-3	M-3	4
IND AS 34 Interim Financial Reporting	M-1	M-1	4
Ind AS 36 Impairment of Assets	M-2	M-2	4
Ind AS 37 Provisions, Contingent Liabilities and Contingent Assets	M-3	M-3	4
Ind AS 38 Intangible Assets	M-2	M-2	4
Ind AS 40 Investment Property	M-2	M-2	5
Ind AS 41 Agriculture	M-2	M-4	5
Ind AS 101 First Time Adoption of Ind AS	M-4	M-5	5
Ind AS 102 Share Based Payment	M-2	M-4	5
Ind AS 103 Business Combinations	M-4	M-5	6
Ind AS 105 Non-current Assets Held for Sale and Discontinued Operations	M-2	M-2	6
Ind AS 107 Financial Instruments	M-3	M-4	-
Ind AS 108 Operating Segments	M-3	M-3	6
Ind AS 109 Financial Instruments	M-3	M-4	7
Ind AS 110 Consolidated Financial Statements	M-4	M-5	7
Ind AS 111 Joint Arrangements	M-4	M-5	7
Ind AS 112 Disclosure of Interests in Other Entities	M-4	M-5	7
Ind AS 113 Fair Value Measurement	M-1	M-1	7
Ind AS 115 Revenue from Contracts with Customers	M-1	M-4	8
Ind AS 116 Leases	M-2	M-2	8

Ind AS & Topic	General Measurement / Recognition Principle	Specific Treatment / Nuance (Technical Adjustments)	Cross-Linkage / Reference
Ind AS 1 Presentation of FS	**Current/Non-Current Classification** Liabilities are Current if they are due to be settled within 12 months or the entity does not have an unconditional right to defer settlement for >12 months.	**1. Breach of Covenants: If covenants are breached on or before the reporting date, the loan is Current, even if the lender agrees not to demand payment after the reporting date.** *Exception: Classified as Non-Current only if the waiver/grace period is obtained before the reporting date.* **2. Refinancing: If refinancing occurs after the reporting date, the loan remains Current at year-end. (Unless the entity had the discretion to roll over under an existing facility at the reporting date).**	**Ind AS 10: The receipt of a waiver after the reporting date is a Non-Adjusting Event (it confirms the liability was payable on demand at year-end).**
Ind AS 1 Going Concern	**Going Concern Assessment** FS are prepared on a going concern basis unless management intends to liquidate or has no realistic alternative but to do so.	**Material Uncertainty: If management is aware of material uncertainties (e.g., negative operating cash flows, loss of key license), these must be disclosed. If FS are not going concern, measure assets at Liquidation Value (NRV).**	**SA 570 (Auditing): Auditors must modify their report if there is "Material Uncertainty Related to Going Concern."**
Ind AS 2 Inventories	**Valuation** Lower of Cost or Net Realisable Value (NRV). **Cost Includes: Purchase price, non-refundable taxes, transport.** **Excludes: Storage (unless WIP), admin overheads, abnormal waste.**	**1. Fire/Flood Damage:** • Inventory: Write down strictly to NRV (Scrap value). The loss is recognized in P&L immediately. • Insurance Claim: Recognised separately as an asset only when recovery is virtually certain (usually upon admission of claim by insurer). Do not net off claim against inventory loss. **2. Cost Formula Change (FIFO ↔ W.Avg):** This is a Change in Accounting Policy, not an estimate.	**Ind AS 37: Insurance claim is a "Contingent Asset" until virtually certain.** **Ind AS 8: Change in policy requires Retrospective Restatement (restate opening equity and comparative years).**
Ind AS 7 Cash Flows	**Cash & Cash Equivalents** Short-term, highly liquid investments readily convertible to known amounts of cash with insignificant risk of value change (Maturity < 3 months from acquisition).	**1. Classification Matrix:** • Non-Financial Entity: - Int/Div Paid = Financing. - Int/Div Received = Investing. • Financial Entity: - Int/Div Paid/Received = Operating Activity (usually). - Note: Dividends paid by Fin. Entity is still Financing.	**Ind AS 1: Presentation of Dividend requires disclosure in Statement of Changes in Equity (SOCE), but cash outflow is in Cash Flow Statement.**
Ind AS 8 Policies, Estimates & Errors	**Correction & Changes** Ensures consistency and comparability of financial statements across periods.	**1. Prior Period Errors: (e.g., mathematical mistake in past year).** • Treatment: Retrospective Restatement. Correct the error in the first set of FS authorized for issue after discovery by restating comparative amounts for the prior period(s). **2. Estimate vs. Policy:** • Change in Estimate: (e.g., Useful life, Bad debt provision) → Prospective (Current & Future P&L). • Change in Policy: (e.g., Cost model to Revaluation) → Retrospective.	**Ind AS 1: Requirement to present a "Third Balance Sheet" (at the beginning of the preceding period) if a retrospective restatement has a material effect.**
Ind AS 10 Events After Reporting Period	**Adjusting vs. Non-Adjusting** Events occurring between the Balance Sheet date and the date FS are approved for issue.	**1. Adjusting Events: (Evidence of condition existed at BS date)** • Bankruptcy of Customer: Confirms the receivable was impaired at year-end. → Adjust provision. • Fraud discovery: Indicates incorrect accounts at year-end. **2. Non-Adjusting Events: (Condition arose after BS date)** • Fire after year-end: Disclosure only. • Dividends Declared: Even if declared before approval of FS, they are not a liability at BS date.	**Ind AS 37: Provisions / Contingent Liabilities.** **Ind AS 1: Dividends declared after reporting period are disclosed in notes, not accrued in Equity.**

Ind AS & Topic	General Measurement / Recognition Principle	Specific Treatment / Nuance (Technical Adjustments)	Cross-Linkage / Reference
Ind AS 12 Income Taxes	**Balance Sheet Approach** Recognise DTA/DTL on Temporary Differences (Difference between Carrying Amount in Balance Sheet and Tax Base).	**1. Unabsorbed Depreciation/Losses:** • DTA is recognised only to the extent that it is probable that future taxable profit will be available against which the unused tax losses can be utilised. **2. Revaluation of Asset:** • Revaluation creates a temporary difference (Carrying Amount > Tax Base). • The DTL arising from this is recognised in OCI (Other Comprehensive Income), not P&L, because the gain itself is in OCI. **3. MAT Credit:** • MAT Credit Entitlement is recognised as a Deferred Tax Asset (DTA) under Ind AS 12 to the extent there is convincing evidence that the company will pay normal income tax during the specified period.	**Ind AS 1: Presentation of OCI items (Items that will not be reclassified to P&L).** **Guidance Note: ICAI guidance on MAT credit accounting.**
Ind AS 16 PPE	**Cost Model or Revaluation Model** Depreciation is allocated systematically over useful life.	**1. Componentization (Aircraft Engine):** • Mandatory under Ind AS (not optional). • When a major component (engine) is replaced: Capitalize the new cost AND Derecognize the carrying amount of the old part. • Tricky point: If the carrying amount of the replaced part is unknown, use the cost of the replacement (deflated to the purchase year) as a proxy to derecognize. **2. Revaluation Impact:** • Gain: Credits to Revaluation Surplus (OCI). (Exception: If it reverses a previous P&L loss, credit P&L). • Loss: Debits to P&L. (Exception: If there is a credit balance in Revaluation Surplus for that asset, debit OCI first). **3. Self-Constructed Assets:** • Include: Direct material, labor, site prep, professional fees. • Exclude: Internal profits, abnormal waste/inefficiency, admin overheads (unless directly attributable).	**Ind AS 36: Impairment testing if carrying amount > recoverable amount.** **Ind AS 23: Capitalization of borrowing costs during construction.**
Ind AS 19 Employee Benefits	**Projected Unit Credit Method (PUCM)** Used for Defined Benefit Plans (Gratuity/Pension) to determine present value of obligation.	**1. Actuarial Gains/Losses (Remeasurements):** • STRICTLY recognised in OCI (Other Comprehensive Income). • Never reclassified to P&L subsequently. • Contrast: Past Service Cost (plan amendment) goes to P&L immediately. **2. Gratuity Provisioning:** • Must be based on Actuarial Valuation at the reporting date using PUCM. • Discount Rate = Yield on Government Bonds (not corporate bonds) at BS date.	**Ind AS 1: Statement of Changes in Equity (Transfer from Retained Earnings to other reserves is permitted).**
Ind AS 20 Govt Grants	**Reasonable Assurance** Recognise when there is assurance that: (a) Entity will comply with conditions, and (b) Grant will be received.	**1. Refund of Grant (Breach of Conditions):** • Treated as a Change in Accounting Estimate (Ind AS 8). • Asset-related: Increase the carrying amount of the asset (or reduce deferred income balance). Cumulative depreciation that would have been charged had the grant not been received is charged to P&L immediately. • Income-related: Debit Deferred Income (if any) or charge P&L. **2. Non-Monetary Grant (Land):** • Ind AS 20 allows recording at Fair Value (preferred) or Nominal Value. • If recorded at FV, the credit goes to Deferred Income and is amortised over useful life.	**Ind AS 8: Prospective application for change in estimates.** **Ind AS 16: Adjustments to asset cost impact future depreciation.**

Ind AS & Topic	General Measurement / Recognition Principle	Specific Treatment / Nuance (Technical Adjustments)	Cross-Linkage / Reference
Ind AS 21 Forex Rates	**Functional Currency Approach** (Replaces old 'Integral/Non-integral' terminology, though concept is similar).	**1. Functional Currency Determination:** • If the branch operates independently (accumulates cash, sets prices, independent debt) → Different Functional Currency (Translation: Closing rate for Assets/Liabilities; Avg rate for P&L). Exchange diff goes to FCTR (OCI). • If branch is an extension of HO (dependent) → Same Functional Currency (Translation: Temporal Method). Exchange diff goes to P&L. **2. Monetary vs Non-Monetary:** • Monetary (Debtors/Creditors/Cash): Retranslate at Closing Rate. (Gain/Loss to P&L). • Non-Monetary (Inventory/PPE): Do NOT retranslate. Keep at Historical Rate (Transaction date). • Exception: If Non-Monetary item is at Fair Value (e.g., revalued PPE), use rate at date of valuation.	**Ind AS 113: Fair Value Measurement.** **Ind AS 16: Revaluation of assets in foreign currency.**
Ind AS 23 Borrowing Costs	**Capitalization on Qualifying Assets** Assets that take a substantial period to get ready for intended use.	**1. Suspension of Capitalization:** • Suspend during extended periods where active development is interrupted (e.g., labor strike, holding land for future use). • Do NOT Suspend for temporary delays that are a necessary part of the process (e.g., waiting for cement to cure, water level to subside if common in that region). **2. General Borrowing Rate:** • Use Weighted Average Capitalization Rate of all borrowings outstanding during the period (excluding specific borrowings). • Formula: (Total Interest on Gen Borrowings / Weighted Avg General Borrowings).	**Ind AS 16: Borrowing cost becomes part of the "Cost" of the asset.** **Ind AS 7: Interest paid capitalized is Investing Activity (or Operating/Financing depending on policy/nature).**
Ind AS 24 Related Party Disclosures	**Disclosure Only** Requires disclosure of RP relationships, transactions, and outstanding balances to ensure users understand potential effects on FS.	**1. KMP Identification & Family:** • KMP: Includes Directors (Exec/Non-Exec) and key management personnel. • Close Family Member: Includes children, spouse, and dependents. • Scenario: Director's wife is a "Close member of the family" and thus a Related Party. Transactions with her (e.g., rent) must be disclosed. **2. Arm's Length Logic:** • Ind AS 24 mandates disclosure of whether transactions are at Arm's Length only if substantiated. • Warning: Just stating "at arm's length" without proof is a violation.	**Companies Act Sec 188: Requires Board/Shareholder approval for RPTs not at arm's length.** **SA 550: Auditor must identify undisclosed RPTs as a significant fraud risk.** **Income Tax (TP): Transfer pricing adjustments apply if not at arm's length.**
Ind AS 27 Separate Fin. Statements	**Measurement of Investments** Accounting for investments in Subsidiaries, JVs, and Associates in Standalone (Separate) FS.	**Cost vs. Fair Value Choice:** Entity has an accounting policy choice to measure these investments either: 1. At Cost (Historical cost). 2. In accordance with Ind AS 109 (Fair Value through P&L or OCI).	**Ind AS 36: If 'Cost' model is chosen, investment must be tested for Impairment if indicators exist (e.g., subsidiary net assets < carrying amount).**
Ind AS 28 Associates & JVs	**Equity Method** Investment recorded at cost and adjusted for investor's share of post-acquisition profits/losses.	**Upstream vs. Downstream Transactions:** Unrealized profits must be eliminated to the extent of the investor's interest. • Downstream (Parent → Associate): Eliminate unrealized profit by reducing the Investment value and share of profit. • Upstream (Associate → Parent): Eliminate unrealized profit by reducing the Investment value and share of profit. *Nuance: Unlike Consolidation (where we adjust Inventory), here we adjust the Investment account.*	**Consolidation Audit: Auditor checks if inter-company profits on unsold stock held by the Associate are eliminated. Failure overstates Group Profit.**

Ind AS & Topic	General Measurement / Recognition Principle	Specific Treatment / Nuance (Technical Adjustments)	Cross-Linkage / Reference
Ind AS 32 Fin. Instruments (Presentation)	**Substance over Form** Classification as Liability or Equity depends on contractual obligation, not legal name.	**Preference Shares (The 'Name' Trap):** • Redeemable Preference Shares: If mandatory redemption exists (or holder option) → Financial Liability (Not Equity). • Dividends: Treated as Interest Expense in P&L, not equity distribution. • Convertible Pref Shares: If mandatory conversion into fixed number of shares → Equity.	**Audit Check: Review "Preference Shares." If classified as Equity but have mandatory redemption, it is a material misstatement.** **Debt Covenants: Reclassifying Equity to Liability might breach Debt/Equity ratios.**
Ind AS 33 Earnings Per Share	**Basic vs. Diluted EPS** Basic = Net Profit / Weighted Avg Shares. Diluted = Adjusts for all potential dilutive equity shares.	**1. Convertible Debentures:** • Add back post-tax interest expense to Numerator. • Add potential shares (if converted) to Denominator. **2. ESOPs (Treasury Stock Method):** • Assume options exercised at beginning of year. • Assume proceeds used to buy back shares at avg market price. • Only incremental (free) shares are added to Denominator.	**Ind AS 102: Expense for ESOPs impacts Numerator.** **Audit: Ensure anti-dilutive instruments (which increase EPS) are ignored in Diluted EPS calculation.**
Ind AS 34 Interim Financial Reporting	**Integral View** Interim periods are viewed as part of the annual period, not distinct independent periods.	**Income Tax Rate (Annual Effective Rate):** • Method: Estimate the Weighted Average Annual Effective Tax Rate expected for the full year (considering progressive brackets, tax holidays) and apply to interim pre-tax income. • Note: Do not simply apply statutory rate (e.g., 25%) to the quarter's profit.	**Audit Review: Quarterly Review requires verifying if tax provision is based on a reasonable estimate of the annual rate.**
Ind AS 36 Impairment of Assets	**Impairment Testing** Asset is impaired if Carrying Amount (CA) > Recoverable Amount (RA). **RA = Higher of:** 1. Fair Value less Costs of Disposal (FVLCD) 2. Value in Use (VIU - PV of future cash flows).	**1. Reversal of Impairment (The Trap):** • Assets: Impairment loss can be reversed in future years if indicators change (capped at historical CA less depreciation). • Goodwill: Impairment loss on Goodwill can NEVER be reversed. (Major difference from old AS). **2. Corporate Assets (HQ Building):** • Cannot generate cash flows independently. Must be allocated to Cash Generating Units (CGUs). • If allocation is possible: Test CGU with Corporate Asset. • If not possible: Perform "Top-Down" test on group of CGUs. **3. Discount Rate (VIU):** • Must use a Pre-Tax rate. If post-tax rate is used (common in practice), the cash flows must be adjusted to align.	**SA 540 (Audit Estimates): Heavy audit scrutiny on Cash Flow projections (budgets) and Discount Rates (WACC).** **Ind AS 16: If asset is Revalued, impairment loss goes to OCI (Revaluation Surplus) first, then P&L.**
Ind AS 38 Intangible Assets	**Recognition Criteria** Identifiable, Controlled by entity, Future Economic Benefits probable. **Measurement:** Usually Cost Model (Revaluation Model allowed only if active market exists, which is rare).	**1. R&D Phase Separation:** • Research: Always Expense to P&L. • Development: Capitalize only if 6 strict criteria are met (technical feasibility, intent to complete, ability to sell/use, measurable cost, etc.). **2. Website Costs:** **• Developing website for marketing/promotion: Expense (P&L).** **• Developing website for sales/orders (generating revenue): Capitalize.** **3. Indefinite Useful Life:** **• Assets with indefinite life (e.g., certain brands/licenses) are not amortized. Instead, they are tested for impairment Annually (mandatory), even if no indicators exist.**	**Ind AS 103 (Business Combinations): Acquirer recognizes intangibles (e.g., customer list, brand) at Fair Value even if they were not on Acquiree's balance sheet.** **Audit Risk: Capitalizing "Research" costs to inflate profits.**

Ind AS & Topic	General Measurement / Recognition Principle	Specific Treatment / Nuance (Technical Adjustments)	Cross-Linkage / Reference
Ind AS 40 Investment Property	**Cost Model ONLY** (Unlike IFRS which allows FV Model). Property held for rental income or capital appreciation (or both), rather than for use in production (PPE) or sale (Inventory).	**1. Transfers (Change in Use):**	**Ind AS 113: Even though Cost Model is used, the Fair Value must be disclosed in the Notes to Accounts.** **Ind AS 16: If owner-occupied, it's PPE.**
		• IP to Owner-Occupied (PPE): Transfer at Carrying Amount (CA). No P&L impact.	
		• Inventory to IP: Transfer at Carrying Amount. (Difference from IFRS: IFRS says transfer at FV and book gain). Ind AS keeps it at Cost to avoid unrealized gains.	
		2. Dual Use Property:	
		• If a portion is rented out and a portion is used for HQ, and portions can be sold separately: Split accounting (Part Ind AS 40 & Ind AS 16).	
		• If not separable: It is IP only if the owner-occupied portion is insignificant.	
Ind AS 41 Agriculture	**Fair Value Model** Biological Assets (living plants/animals) measured at Fair Value less Costs to Sell (FVLCTS) at each reporting date. Gains/Losses go to P&L.	**1. Bearer Plants (The Exception):**	**Ind AS 2: Once produce is harvested (detached), it transfers to Inventory. The "Cost" for Ind AS 2 is the Fair Value at the point of harvest.** **Ind AS 16: Bearer plants are depreciated.**
		• Plants used solely to grow produce over multiple periods (e.g., Tea bushes, Grape vines, Mango trees).	
		• Treatment: Accounted for as PPE (Ind AS 16) at Cost/Revaluation. NOT Ind AS 41.	
		• Note: The produce growing on them (e.g., the grapes) is Ind AS 41 (Biological Asset).	
		2. Government Grants (Ind AS 41 Specific):	
		• Unconditional Grant: Recognise income when receivable.	
		• Conditional Grant: Recognise income only when conditions are met.	
		• Note: This differs from Ind AS 20 (Deferred Income approach).	
Ind AS 101 First-time Adoption	**Retrospective Application** Prepare Opening Ind AS Balance Sheet at the "Date of Transition" as if Ind AS had always been applied (with specific mandatory exceptions and optional exemptions).	**1. PPE Deemed Cost Exemption (The "Grandfathering" Choice):**	**Ind AS 12: Deferred Tax must be recalculated on all transition adjustments (e.g., if you fair value land, create DTL).** **Audit: Verify that "Deemed Cost" adjustments are not treated as Revaluation (i.e., no credit to Revaluation Surplus, but to Retained Earnings).**
		• Option A: Retrospectively calculate Cost & Depreciation under Ind AS 16.	
		• Option B (Most common): Use Carrying Amount under Previous GAAP as "Deemed Cost" at transition date. (Ignores past Ind AS 16 deviations).	
		• Option C: Use Fair Value at transition date as Deemed Cost.	
		2. FCTR Reset:	
		• Option to reset cumulative Foreign Currency Translation Reserve (FCTR) to Zero at transition date (transfer to Retained Earnings). Avoids reconstructing decades of forex history.	
		3. Financial Instruments:	
		• Classification (Amortised Cost/FVTPL) is based on facts/circumstances existing at the Transition Date, not original inception date.	
Ind AS 102 Share-based Payment	**Fair Value Measurement** Recognise expense over the Vesting Period. • Equity-Settled: FV at Grant Date (Locked). • Cash-Settled (SARs): FV at Reporting Date (Remeasured).	**1. Market vs. Non-Market Conditions (The Trap):**	**Ind AS 33: Diluted EPS calculation uses the "Treasury Stock Method" for ESOPs.** **Tax: Income Tax deduction is usually allowed only on exercise, creating a DTA during the vesting period.**
		• Service/Performance Condition (e.g., EPS target): If not met, reverse the expense. (True-up allowed).	
		• Market Condition (e.g., Share Price target): Effect is baked into Grant Date FV. If condition is not met, DO NOT reverse expense. (Expense continues even if vesting is impossible).	
		2. Group Schemes (Parent shares to Sub employees):	
		• Subsidiary Books: Recognised as Expense with credit to Equity (Capital Contribution from Parent), not Liability.	
		• Parent Books: Debit "Investment in Sub", Credit Equity.	
		3. Modification (Repricing):	
		• If fair value increases (repricing downwards): Recognize incremental FV over remaining vesting period.	
		• If fair value decreases: Ignore the decrease; continue expensing original grant date FV.	

Ind AS & Topic	General Measurement / Recognition Principle	Specific Treatment / Nuance (Technical Adjustments)	Cross-Linkage / Reference
Ind AS 103 Business Combinations	**Acquisition Method (PPA)** • Identifiable Assets/Liabilities taken over at Fair Value. • Consideration paid at Fair Value. • Difference = Goodwill or Bargain Purchase.	**1. Transaction Costs:** • Legal, advisory, valuation fees are Expensed to P&L immediately. • Exception: Costs to issue debt/equity are adjusted against liability/equity (not P&L). **2. Contingent Consideration (Earn-outs):** • Recorded at Fair Value at Acquisition Date. • Subsequent Change: - If Liability (paid in cash): Change in FV goes to P&L (FVTPL). - If Equity (fixed shares): No remeasurement; settle within equity. **3. Bargain Purchase (Negative Goodwill):** • Check calculation again (mandatory reassessment). • If gain persists: Recognize in OCI and accumulate in Capital Reserve. (Only goes to P&L if clear evidence of bargain purchase exists, which is rare).	**Ind AS 36: Goodwill is not amortised. Tested for impairment annually.** **Ind AS 38: Must recognize intangibles (Brand, Customer List) separately from Goodwill if they meet criteria, even if acquiree didn't book them.**
Ind AS 105 Non-current Assets Held for Sale	**Lower of CA or FVLCTS** Asset must be available for immediate sale and sale must be highly probable (usually < 1 year). **Depreciation ceases immediately.**	**1. Change of Plan (No longer held for sale):** • The asset is effectively "put back" into PPE. • Measurement: Lower of: a) Recoverable Amount at decision date. b) Carrying Amount as if the asset had never been classified as Held for Sale (i.e., you must catch up the missed depreciation in the current P&L). **2. Abandonment:** • Assets to be abandoned/scrapped are NOT classified as Held for Sale (because carrying amount is recovered through use, not sale). Continue depreciating until end of life.	**Ind AS 1: Discontinued Operations must be presented as a single line item in P&L (Post-tax profit/loss from Discontinued Ops).** **Ind AS 36: Initial classification as Held for Sale triggers an impairment indicator.**
Ind AS 108 Operating Segments	**Management Approach (CODM)** Segments are identified based on internal reports reviewed by the Chief Operating Decision Maker (CODM) to allocate resources and assess performance.	**1. The "10% Threshold" Logic:** Reportable if it meets any one of: • Revenue ≥ 10% of Combined Revenue (External + Inter-segment). • Profit/Loss (Absolute) ≥ 10% of the greater of (i) Combined Profit of profitable segments, or (ii) Combined Loss of loss-making segments. • Assets ≥ 10% of Combined Assets. **2. The "75% Revenue" Catch:** Even if segments meeting the 10% rule are identified, if their External Revenue is < 75% of Total Entity Revenue, additional segments must be identified as reportable until the 75% mark is reached.	**Ind AS 36: Goodwill is allocated to CGUs (often aligned with Operating Segments) for impairment testing.** **Audit: Auditors verify if the "Segment" definition matches what the CEO/Board actually reviews in board packs (Consistency check).**

Ind AS & Topic	General Measurement / Recognition Principle	Specific Treatment / Nuance (Technical Adjustments)	Cross-Linkage / Reference
Ind AS 109 Financial Instruments	**Classification & Measurement** Based on Business Model and Cash Flow Characteristics (SPPI). 1. Amortised Cost: Hold to collect & SPPI. 2. FVTOCI: Hold to collect & sell & SPPI. 3. FVTPL: Residual category (Trading/Derivatives).	**1. Equity Instruments (FVTOCI Irrevocable Option):** • Standard is FVTPL. Entity can irrevocably choose FVTOCI for non-trading equity. • The Trap: If FVTOCI is chosen, gains/losses NEVER recycle to P&L, even on sale. They stay in Equity. (Only Dividends go to P&L). **2. Debt Modification (The "10% Test"):** • Substantial (>10% change in PV): Derecognise old liability, recognise new one. Costs go to P&L. • Non-Substantial (<10%): Do not derecognise. Crucial Ind AS Difference: Calculate PV of new flows at original EIR and book the "Modification Gain/Loss" immediately in P&L. (Cannot spread over future like old GAAP). **3. Expected Credit Loss (ECL):** • Move from "Incurred Loss" to "Expected Loss". • Stage 1: 12-month ECL (No significant risk increase). • Stage 2/3: Lifetime ECL (Significant risk increase).	**Ind AS 32: Distinguishes Equity vs. Liability (e.g., Convertible Debentures split).** **Ind AS 107: Massive disclosure requirements regarding credit risk and liquidity risk.**
Ind AS 110 Consolidated FS	**Control Model** Investor controls investee if it has: 1. Power over investee. 2. Exposure to Variable Returns. 3. Ability to use power to affect returns (Linkage).	**1. De Facto Control (<50% holding):** • An entity can control a sub even with <50% voting rights if remaining shares are widely dispersed and other shareholders don't organize. **2. Potential Voting Rights (Options/Convertibles):** • Considered only if they are substantive (i.e., holder has practical ability to exercise, e.g., they are "in the money" and exercisable now). **3. Investment Entities (PE Funds):** • Exemption: An Investment Entity (e.g., Venture Capital fund) does NOT consolidate its subsidiaries. Instead, it measures them at FVTPL. • Exception to Exception: If the sub provides services related to the fund's activities (e.g., an advisory sub), it is consolidated.	**Ind AS 28: If Control is lost but Significant Influence is retained → De-recognise assets/liabilities, recognise Investment in Associate at Fair Value. Gain/Loss to P&L.** **Tax Audit: Transfer Pricing applies between Parent and Sub.**
Ind AS 111 Joint Arrangements	**Rights & Obligations** Classified as either: 1. Joint Operation (JO): Parties have rights to assets & obligations for liabilities. 2. Joint Venture (JV): Parties have rights to net assets.	**1. Structure isn't everything:** • Even if a "Separate Vehicle" (e.g., a Pvt Ltd Co) is formed, it can be a Joint Operation if contractual terms give parties rights to the assets (e.g., parties agree to purchase 100% of output at cost). **2. Accounting Impact:** • JO: Recognise your share of Assets, Liabilities, Revenue, Expense (Line-by-line in standalone & consol). • JV: Must use Equity Method (Single line item: "Investment in JV"). Proportionate consolidation is Banned (unlike old AS 27).	**Ind AS 28: Governs the application of the Equity Method for JVs.** **Ind AS 112: Disclosure of interests in other entities.**
Ind AS 113 Fair Value Measurement	**Exit Price Principle** Price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at measurement date.	**1. Hierarchy of Inputs (The "Waterfall"):** • Level 1: Quoted prices in active markets (unadjusted) – Most reliable. • Level 2: Observable inputs other than Level 1 (e.g., interest rates, yield curves). • Level 3: Unobservable inputs (e.g., cash flow forecasts using own data) – Least reliable. **2. Highest and Best Use (Non-Financial Assets Only):** • For assets like Land, fair value is based on its "Highest and Best Use" (e.g., industrial land valued as commercial if zoning permits), even if the entity intends to use it differently. • Note: Does not apply to Financial Assets/Liabilities. **3. Principal Market:** • Use the market with the greatest volume/level of activity. If no principal market, use the Most Advantageous Market (maximizes amount received after transport/transaction costs).	**Ind AS 40 / 109: Ind AS 113 tells you how to measure Fair Value, while 40/109 tell you when to measure it.** **Audit: Level 3 valuations (management estimates) are a "Significant Risk" area requiring valuation specialists.**

Ind AS & Topic	General Measurement / Recognition Principle	Specific Treatment / Nuance (Technical Adjustments)	Cross-Linkage / Reference
Ind AS 115 Revenue from Contracts with Customers	**5-Step Model** 1. Identify Contract. 2. Identify Performance Obligations (PO). 3. Determine Transaction Price. 4. Allocate Price. 5. Recognize Revenue.	**1. Variable Consideration (Discounts/Rebates):**	**Ind AS 37: Warranties. (Standard warranty = Provision. Extended warranty sold separately = Separate Performance Obligation under Ind AS 115).** **Audit: "Cut-off" testing is critical. Revenue recognized before transfer of control (Bill and Hold) is a fraud risk.**
		• Estimate using Expected Value or Most Likely Amount.	
		• Constraint: Recognize only to the extent that a significant reversal is highly probable not to occur.	
		2. Point in Time vs. Over Time:	
		• Revenue is Over Time only if:	
		a) Customer receives benefits simultaneously (cleaning service), OR	
		b) Asset is controlled by customer as created (construction on client land), OR	
		c) Asset has no alternative use AND entity has enforceable right to payment for work done (Specialized machinery).	
		• Otherwise: Point in Time (upon delivery).	
		3. Contract Costs:	
		• Incremental costs to obtain a contract (Sales Commission) must be Capitalized if recoverable (amortized over customer life).	
Ind AS 116 Leases	**Single Lessee Model** All leases (Finance & Operating) appear on Balance Sheet as a Right-of-Use (ROU) Asset and Lease Liability.	**1. Exemptions (The "Get Out" Clauses):**	**Ind AS 36: ROU Assets are subject to impairment testing.** **Tax Audit: ROU depreciation is not tax-deductible. Lease Rent paid is deductible. Requires deferred tax adjustment.**
		• Short-term leases: Lease term ≤ 12 months (with no purchase option). Expense rent to P&L.	
		• Low-value assets: Underlying asset value < ~$5,000 when new (e.g., Laptops, Tablets). Cars are not low value.	
		2. Lease Term (The "Extension" Trap):	
		• Lease Term = Non-cancellable period + Renewal periods if reasonably certain to exercise.	
		• If a company spends millions renovating a leased building with a 1-year remaining lease, it implies they are "reasonably certain" to renew. The lease liability must include the renewal period.	
		3. Variable Lease Payments:	
		• Linked to Index/Rate (e.g., CPI, LIBOR): Included in Lease Liability.	
		• Linked to Performance (e.g., % of Sales): Excluded from Liability. Expense to P&L as incurred.	